SVKM'S NMIMS
MUKESH PATEL SCHOOL OF TECHNOLOGY MANAGEMENT& ENGINEERING

Academic Year: 2022-2023

Program: B Tech/MBA Tech Stream : (ALL) 2 BTI, CIVIL Year IV Sem VII Year: II/III__ Semester: _III/V
Subject: Management Accounting for Engineers Time: 3 hrs. (11:00am to 2:00pm)
Date: 16 / 6 / 23 . No. of Pages: 04
Marks: 100 Marks

RE - EXAMINATION

Instructions: Candidates should read carefully the instructions printed on the question paper and on the cover of the Answer Book, which is provided for their use.

1) Question No. _1___ is compulsory.
2) Out of remaining questions, attempt any __4___ questions.
3) In all ___5_ questions to be attempted.
4) All questions carry equal marks.
5) Answer to each new question to be started on a fresh page.
6) Figures in brackets on the right hand side indicate full marks.
7) Assume Suitable data if necessary.

Q-1		Answer briefly:	20
CO- 1; SO- ; BL- Remember	a	State the uses and users of Financial Statements.	5
CO-4 ; SO- ; BL- Evaluate	b	The total sales value of a product is Rs. 8,00,000 and the fixed cost is Rs. 50,000 during the year 2022. If the product's variable cost and selling price per unit are Rs.15 and Rs.20 respectively, find out the P/V Ratio, BEP and Margin of Safety.	5
CO-2 ; SO- ; BL- Evaluate	c	The following information is available in respect of material X: Re-order quantity 1,800 units Re-order period 4 to 6 weeks Maximum consumption 300 units per week Average consumption 250 units per week Minimum consumption 200 units per week Calculate : (a) Re-order level (c) Maximum level (b) Minimum level (d) Average level	5
CO-2 ; SO- ; BL- Understand	d	Explain any FIVE differences between Traditional Costing and Activity Based Costing system.	5

Q-2 CO-2; SO-; BL- Evaluate	a	Following are the details furnished by ABC Ltd. prepare a Cost Sheet showing various elements of cost and calculate the Profit. Opening stock: - Raw material = Rs 5,000 Finished goods = Rs 4,000 Closing stock: - Raw material = Rs 4,000 Finished goods = Rs 5,000 Raw material purchased = Rs 50,000 Wages paid to laboures = Rs 20,000 Chargeable expenses = Rs 2,000 Rent and Taxes = Rs 7,400 Power = Rs 3,000 Experimental expenses = Rs 600 Sale of wastage of material = Rs 200 Office management salary = Rs 4,000 Office printing & stationery = Rs 200 Salaries to salesman = Rs 2,000 Commission to traveling agents = Rs 1,000 Interest on Loan = Rs. 5,000 **Profit Expected is 20% on Sales**	15
Q-2 CO-2; SO-; BL- Remember	b	Explain the classification of costs according to behavior.	5
Q-3 CO-4; SO-; BL- Evaluate	a	The total cost and profit of two years are given below **PARTICULARS** / **YEAR–I** Rs. / **YEAR –II** Rs. TOTALCOST 4,50,000 6,50,000 PROFIT 50,000 1,00,000 Calculate: i. P/V Ratio ii. Break Even Sales (Rs.) iii. Sales required to earn a profit of Rs 1,25,000 iv. Profit earned when sales are Rs. 3,50,000	15

Q-3 CO-4 SO-; BL-Understand	b	Explain how the techniques of Marginal Costing is helpful for a manager in taking various types of decisions.	5
Q-4 CO- 5; SO-; BL-Apply	a	ABC Furniture Co. produces two products Windows and Doors for which the detailed information of each product is given below. **Window (Per Unit)** / **Door(Per Unit)** Selling Price: Rs.20 / Rs.30 Variable Cost: Rs.10 / Rs.18 Labour: 4 hrs. / 3 hrs. Material: 2 mts. / 6 mts. Total Fixed Cost is Rs. 1,000 and the market demand is such that a maximum of 200 units of Windows and 100 units of Doors can only be sold in the market. On the basis of above information, find out the optimum product mix and the maximum profit expected in both of the following situations: a. Labour is limited to 500 hours. b. Material is limited to 600 mts.	15
Q-4 CO- 4; SO-; BL-Evaluate	b	The following information is obtained from X Co. Ltd. Product / SQ (Units) / SP (Rs.) / AQ (Units) / AP (Rs.) A: 1050 / 2.00 / 1100 / 2.25 B: 1500 / 3.25 / 1400 / 3.50 C: 2100 / 3.50 / 2000 / 3.75 Calculate the following: • Material Cost Variance • Material Price Variance • Material Usage Variance	5
Q-5 CO-3; SO-; BL-Apply	a	A company is expecting to have Rs. 25,000 cash in hand on 1st April 2003 and it requires you to prepare cash budget for the three months. April to June 2003. The following information is supplied to you:	15

	Sales Rs.	Purchase Rs.	Wages Rs.	Expenses Rs.
February	70,000	40,000	8,000	6,000
March	80,000	50,000	8,000	7,000
April	92,000	52,000	9,000	7,000
May	1,00,000	60,000	10,000	8,000
June	1,20,000	55,000	12,000	9,0000

		Other Information: 1. Period of credit allowed by suppliers is two months; 2. 25% of sale is for cash and the period of credit allowed to customers for credit sale is one month; 3. Delay in payment of wages and expenses one month: 4. Income tax Rs. 25,000 is to be paid in June 2003.	
Q-5 CO-3; SO-; BL- Evaluate	b	Define Flexible Budget and its Uses.	5
Q-6 CO- 5, SO-; BL- Apply	a	The following are the particulars of two products X and Y: **Product X** Rs. Per unit / **Product Y** Rs. Per unit Direct Materials 200 / 300 Direct Labour 280 / 480 Direct expenses 280 / 420 Selling price per unit 1000 / 1400 Total Fixed overheads is Rs.25000. The new sales manager has proposed the following two sales mixes: 1. Mix A – 300 units of X and 300 units of Y 2. Mix B – 200 units of X and 400 units of Y Advice the management as to which of the above TWO mixes are to be accepted.	12
Q-6 CO-1; SO-; BL- Remember	b	Explain the various Concepts and Conventions of Accounting.	8
Q-7 CO-4; SO-; BL- Evaluate	a	The details of workers of a department is given below: • Total number of workers in the department is 100. • Number of hours paid for in a week 80. • Standard Rate of wages per hour Rs.1.60. Standard Output of the department per hour taking into account normal idle time 40 units. In the first week of January 2023 it was ascertained that 2,000 units were produced despite 20% idle time due to power failure and actual rate of wages paid was Rs.1.80 per hour. Calculate Labour Variances.	12
Q-7 CO-2; SO-; BL- Evaluate	b	For a particular product, Maruti Ltd. estimates that the carrying cost is 15% and it's ordering cost is Rs. 9 per order. The estimated annual requirement is 48,000 units at a price of Rs. 4 per unit. Based on the information provided below; respond to the following questions; i. What is the most economical number of units to order? ii. How many orders should be placed in a year? iii. How often should an order be placed?	8

THE END